Nvidia scandal will threaten US-China truce in 2027

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【メール原文】

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The Nvidia scandal has galvanized China hawks in Washington, and Jensen Huang's resignation as CEO removes the chip industry's most effective lobbyist against the export control bills now riding on the National Defense Authorization Act (NDAA).

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Beijing will use the APEC summit in Shenzhen and the G20 summit in Florida to press President Donald Trump on its red lines over the bills, and it will likely hold off on retaliation until the US enforces new controls.

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We still expect Trump and President Xi Jinping to extend the Busan truce past 10 January, but if new controls take effect, the risk that the agreement will unravel in 2027 will rise, with any Commerce rule on remote access to offshore compute potentially the main flashpoint.

The Nvidia scandal has empowered China hawks in Washington. We had flagged that the Megaspeed scandal would weaken Nvidia's ability to slow new export controls in Congress even if Huang kept his job (Nvidia scandal increases odds of stronger export controls , 9 November 2026). His resignation complicates the situation further, removing the industry's most effective lobbyist and Nvidia's direct line to Trump. Huang’s exit now puts congressional negotiators on both sides of the aisle in a precarious position; they would now have to be seen defending Nvidia to strip the three chip bills from this year's NDAA (the Chip Security Act, the AI Overwatch Act, and the MATCH Act).

The executive and legislative tracks will diverge. On the executive track, nothing suggests Trump's posture toward Xi will shift. He still wants stability, not a return to pre-Busan tensions. China hawks will now have a louder internal voice, with Stephen Miller now chief of staff, but Treasury Secretary Scott Bessent shares Trump's interest in preserving the truce. On the legislative track, the chip bills now have a clearer path to be attached to the NDAA, expected to pass late this year. The Remote Access Security Act (RASA) is not in either the House or Senate drafts of the NDAA, though there has been discussion of adding remote access provisions during the conference drafting process. the NDAA, Regardless, Commerce already has the authorities to close the remote-access loophole Megaspeed used, if directed by Trump. How much discretion the final bills leave the White House will determine how restrictive they become (see: Managed US-China stability will hold after midterms , 11 November 2026). Relatedly, Secretary of Commerce Howard Lutnick may be sidelined over his alleged personal involvement in the Huang scandal.

Beijing will likely intensify its diplomatic outreach to the Trump administration. The APEC summit on 18-19 November and the G20 summit on 14-15 December are Beijing's best remaining chances to press Trump in person while the NDAA is still being negotiated and before the truce expires on 10 January. Xi and other Chinese officials will use these opportunities to raise concerns about the chip bills and define their red lines. Beijing knows the White House has less sway over this year's legislation than over executive actions, but it will still expect Trump to resist the bills in some form and, if they pass, to limit their enforcement.

Beijing will likely delay retaliation until any bills are finalized, passed, and implemented. Different versions of the MATCH Act, for example, give the Department of Commerce varying degrees of implementation discretion, and Beijing will see logic in waiting for a final outcome. Enforcing the broad House version, which covers most immersion deep ultraviolet (DUV) lithography tools, would trigger a sharp Chinese reaction. The narrower Senate version, limited to the most advanced DUV tools and which the White House has shown some openness to, would draw a milder reaction.

The greatest bilateral risks will come in 2027. We still expect Trump and Xi to extend the Busan truce beyond 10 January. But the scandal has hardened views of China in Washington, making it harder for the two sides to close gaps over rare earth flows and US technology controls. The greater risks are in 2027 in a scenario where the NDAA passes loaded with the new bills and Commerce starts enforcing new controls while at the same time Democrats gain investigatory authority to probe the administration's policies toward China. Commerce will retain final enforcement authority, so impact will remain contingent on how it uses its discretion. That said, if a Commerce remote-access rule cuts Chinese firms off from offshore compute, it would slow the country’s AI development sooner than other potential US controls (see table), and Beijing would likely retaliate.

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